

THE TARGET IS TO REACH PROOF OF CONCEPT

At this stage, the target is to reach proof of concept and early traction. You want the market to validate your hypothesis. You need users, sales sign, etc to be sure that the product is being accepted by the market. This will also help attract investor capital.

We discussed relatively quick for others. Some people may find early traction immediately, whereas others may take few years. For other startups, they may never get out of phase and shut down eventually.

So you need to understand that when you are in the kitchen phase, you'd have no significant investment. Friends or family, might invest at this stage, but significant capital will not be available generally.

However, suppose you are an IIT or IIM graduate, or have been the head of a company for a few years, or have your expertise established, you might attract investors at this phase as well. You don't have a product or market; they simply trust you.

Here you have to work by yourself. Once you have early traction, it is good time to start talking to investors and look to raise capital.

